

The Nature of Real Estate Finance

What would homeownership be like if you had to pay cash for every home purchase? How many of us could afford to own our own home? Fortunately, financing extends the opportunity for homeownership to many.

Credit for Borrowers

Credit allows us to own homes and goods now that we then pay for over time. With real estate, this is for a very long time-often for 30 years or more. Of course, this long payoff term means that the home will cost us a lot more than its original price tag, because of the interest that must be paid for the loan. The regular monthly payments include interest as well as principal.

Interest for Lenders

But the interest is what gives lenders incentive to make the loan. Loans are an investment for banks and other financiers, and they allow lenders to accumulate funds through regular monthly payments that they can redistribute to further economic growth.

Financial Symbiosis

This symbiotic relationship between lender and borrower works nicely, except when it doesn't. If, over a prolonged period, more funds are withdrawn from financial institutions than are deposited, this can create what's called disintermediation. And lenders will naturally curtail lending, which results in an economic slowdown.

The desire for money creates a competitive environment within the economy-among consumers, businesses, and the government. To add balance, the Federal Reserve (the Fed) and the secondary mortgage markets help to redistribute funds and do their best to ensure that adequate cash remains available.